SOLUTION – CONTINUANCE RISKS

Evaluation of the continuance risks at Patzer Group

1 mark for identifying each continuance risk and 2 marks for suitable evaluation

	Identification of risk	**Evaluation**
1.	Patzer Group has the potential to acquire a 50% share in a joint venture in Dubai.	There is a risk that we do not have the available resources to carry out an audit in Dubai. We may not have access to staff with the correct experience, expertise or capacity to perform the audit.
2.	If Mike Tanning becomes a director of Patzer Group, we will need to carry out the appropriate anti-money laundering (AML') checks under UK legislation. However, this may be difficult as he is based overseas.	If we are unable to obtain suitable anti-money laundering information, then this would prevent us from being able to fulfil our statutory responsibilities and we would not be able to continue as auditors of Patzer Group.
3.	Carol has stated that she feels that the audit fees are too high and would like a reduction for next year.	We may be placed under fee pressure from the client which may be detrimental to the quality of the work performed. We may also face the risk of making a financial loss on the audit if the fee does not cover our costs in full.
4.	Carol would also like to finalise the audit earlier than usual. It was noted that staff availability is limited in January and February.	We may not have the available resources to complete the audit in line with this time frame preventing us from being able to complete the audit work with appropriate due care.
5.	Carol has suggested that she is willing to negotiate an audit fee bonus if the audit is completed by 31 January.	Patzer Group is proposing a contingent fee based on the performance of the audit. This is prohibited under the FRC Ethical Standard, and the audit could not be taken on under such conditions.

6.	Mike Tanning appears to be a controversial individual who has previously been investigated by HMRC and has been involved in several failed business ventures.	If Mike becomes involved with Patzer Group, we must consider the overall integrity of management and the potential risk to our reputation from being associated with a controversial individual.
7.	Patzer UK has asked GM to carry out a review of its revenue recognition policy.	There is a risk of self-review threat to independence as GM will be providing recommendations on the revenue recognition policy which will then be audited during next year's audit.

Total marks (21 marks)

Note: *the fact that the Patzer group is a group, which entails the greater complexities of consolidation account and group auditing, would* ***not*** *be an appropriate issue to raise in relation to this question. GM has completed the Patzer audit for several years and the client is pleased with audit quality, so this is not in itself a significant risk factor. Focus should instead be placed upon changes to the group, such as the proposed expansion into Dubai.*